



Weekly Market Note
August 21st, 2026

Economic Data & Markets Summary

Index	Asset Class	MTD	YTD
MSCI World	Equity	3.81%	14.34%
MSCI Asia Pacific	Equity	3.92%	20.06%
MSCI Europe	Equity	2.24%	12.33%
MSCI China	Equity	-2.00%	-9.22%
Bloomberg Barclays Global Aggregate Index	Fixed Income	0.53%	-0.20%
Bloomberg Commodities Index	Commodities	2.53%	23.00%
HFRX Global	Hedge Fund	1.19%	4.80%
HFRX Macro/CTA	Hedge Fund	1.34%	5.44%
HFRX Equity Hedge	Hedge Fund	2.26%	8.64%

*Index data as of August 14, 2026

Global Markets & Economic Data:

The brief respite after the market became "aware" of a AI-HF blowup in late July has given way to tumultuous market price action that has spilled into macro assets fueled by Bessent's surprising yield curve "management" initiatives.

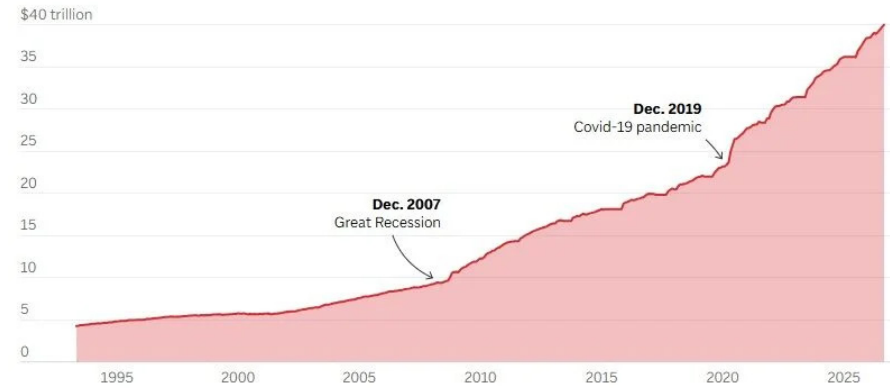
US: Housing Starts fell in all regions besides the Northeast. FOMC July meeting minutes were hawkish as three regional Fed Presidents voted in favor of a 25bps hike.

Switzerland/UK/Germany: Swiss Industrial Production grew by 5.5% y/y in Q2, above expectations. The UK Unemployment Rate was unchanged at 4.9%. Germany's ZEW Economic Sentiment Index hit its highest level since February.

Japan/China: Japan's Q/Q Q2 GDP is estimated to be 0.3%, below forecast and its July inflation rate rose to 1.9%. Chinese July Industrial Production and Retail Sales were both below expectations.

Band-aids don't fix bullet holes

US national debt climbs to record \$40 trillion



Note: Data up to August 18, 2026. Includes debt held by the government and by the public.

Source: U.S. Treasury / Graphic: Will Jarrett

AP

- Here we are in the US at \$40T debt, equities at all-time highs, rates sticky, and bond vigilantes making a showdown versus the US Treasury.
- Bessent blinked first and showed his hand, but a bazooka of a program seems to be needed to get the back-end lower, not the paltry \$4B announced on Wednesday.
- Even reducing rates 12 months ago did not do much to get the 30-year back down.
- Price action is becoming volatile, with steeper positions hurt on Wednesday, causing de-risking, while "inflation proxies", precious metals, commodities, and bitcoin, are bid to the moon.
- Can global equities sidestep the macro to continue to grind higher, or do we have some tumultuous moments ahead?

Market Spotlight: Positioning

- Investors remain bullish on US equities and positioning is at the higher end of historic ranges.
- A BoFA survey found cash holdings fell to the 6th lowest reading in history, sentiment is near the top of its range and equity allocations are at the highest since 2024.
- In macro, the US dollar has remained in a tight range over the past 12 months. A bull story emerged over the past few months for US rates higher for longer, but the dollar's price failed to keep up with the excitement around the story and positioning has been coming down.
- Now, after Bessent's Wednesday moves, the bear case for a breakdown lower from the current range seems possible.
- Another positioning data point to follow is hedge fund's exposure to Korea, which has almost dropped to mid Q2 levels, but remains elevated versus historic data points.

August FMS: buoyant sentiment, uber-low 3.5% cash, and a heavy equity overweight

BoFA Global Fund Manager Survey — the composite sentiment gauge and two of its allocation drivers, 1999-Aug 2026

Composite sentiment near the top of its range

Percentile rank of growth expectations + cash + equity allocation (scale 1-10) • BoFA's 3rd-most-bullish reading since 2022



Cash fell to 3.5% — 6th-lowest reading in survey history

Average cash level (% of AUM) • BoFA Cash Rule 'sell' signal triggered (cash ≤ 4.0%)



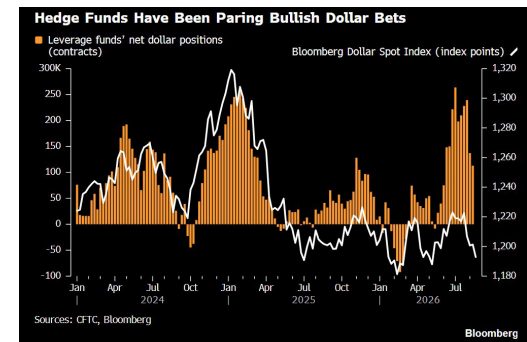
Equity allocation net 27% overweight — highest since Dec '24

Net % overweight US equities • a 14th straight month overweight



Source: BoFA Global Research

Note: the source's Chart 3 is captioned as global equities (net 56% OW); the series plotted there is BoFA's net % OW US equities (~27%, matching Charts 17 & 43), reproduced here as plotted.



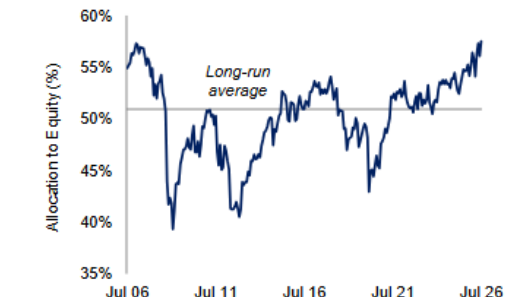
Long/Short Ratio - Korea

U/S ratio at 78th percentile since Jan 2018



Source: JPM

Figure 2: State Street Risk Holdings indicator — Equity allocations continue to push higher



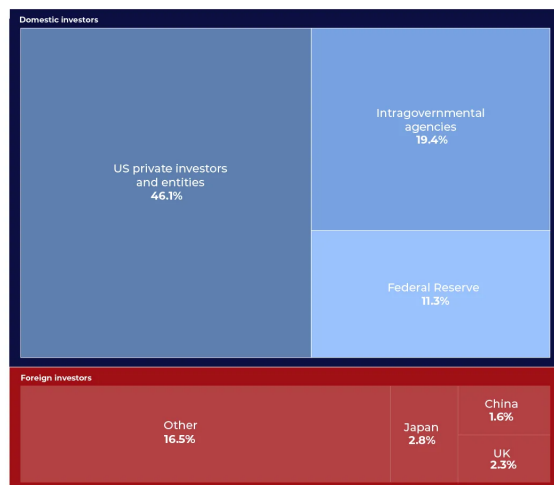
Source: State Street Markets

Market Spotlight: US Debt Holders

- Attention is rapidly shifting to the US bond market due to sticky high rates amid elevated inflation and the relentless uptrend in US debt levels.
- The Issue: High US debt raises questions about “risk-free” Treasury status. Unlike emerging markets, the US historically escapes bond yield penalties for excessive borrowing. US debt functions as global collateral due to the dollar’s reserve currency role.
- Major Holders: Japan is the largest foreign holder seeking stable yields in a low-rate environment. China has reduced holdings in recent years to diversify reserves after accumulating US debt from trade surplus, the Federal Reserve is a major holder using Treasuries as monetary policy tool. Additionally, US Social Security & Pension Funds are legally required to invest surplus payroll taxes in government securities and Banks & Mutual Funds hold Treasuries as required liquid, safe assets.

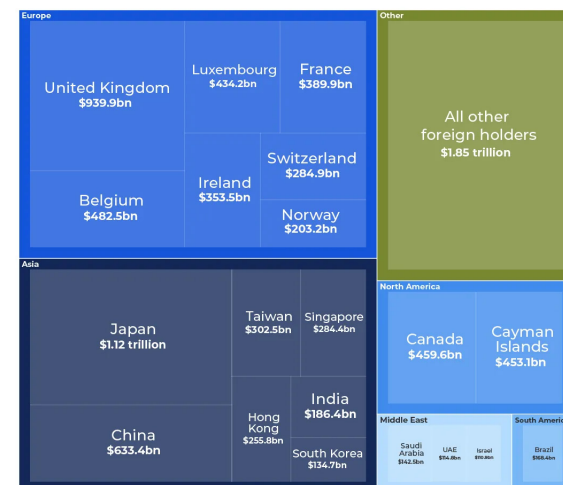
Who holds US debt?

More than three-quarters of the \$40 trillion US debt, approximately \$30.7 trillion, is held domestically, while the remaining \$9.3 trillion is owned by foreign entities.



Which countries hold the most US debt?

Foreign investors hold \$9.29 trillion, or nearly a quarter of the total US national debt. Japan is the largest foreign holder of US debt, followed by the United Kingdom and China.



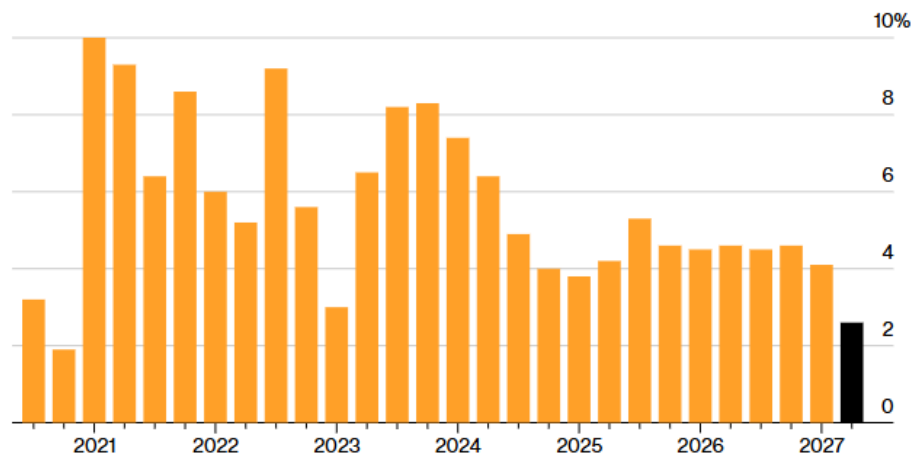
Market Spotlight: Weak US consumer data points

- Debates around the health of the U.S. consumer persist, while some areas of the consumer sector continue to show promise, inflation appears to be taking a clear toll. Rates remain elevated, which is depressing the US housing market while Walmart just reported its weakest sales growth in 6 years.
- Equity Long/Short hedge funds are approaching the consumer sector from a bottom-up micro level, continuing to identify interesting longs and shorts amid the high-level macro headwinds. We continue to see high conviction long positioning in isolated growth or corporate turnaround stories while at the same time many winning shorts are squeezing higher as funds scramble to book gains before the next meme craze emerges.
- Walmart sales growth declined to its slowest pace in 6 years, signaling broader weakness in consumer purchasing power and discretionary spending.
- The U.S. is experiencing the longest homebuyer recession in history, with pending home sales down 33% below pre-pandemic levels and 40% below the pandemic peak and the latest retail sales figures surprised to the downside.

Walmart's US Sales Growth Decelerates

Comparable sales rose 2.6% last quarter, the slowest in over six years

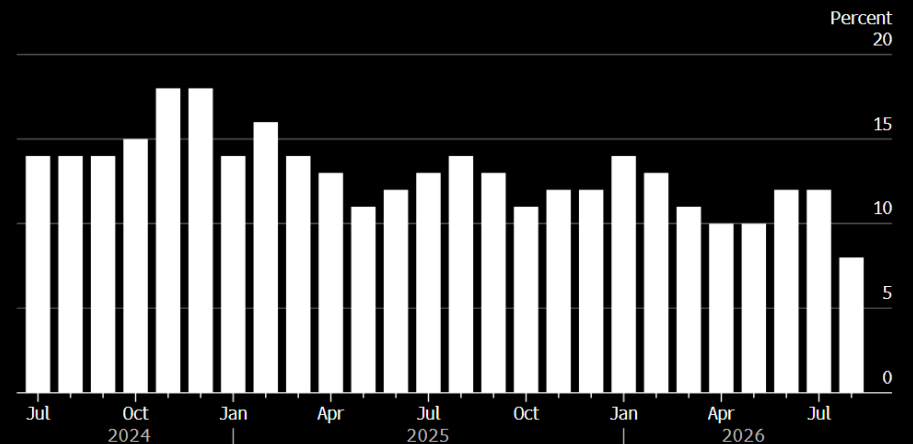
■ US comparable sales ■ Latest quarter



Source: Company statements

Consumers Do Not Expect to Keep Up With Inflation

■ Percent Expecting Income Growth To Exceed Inflation



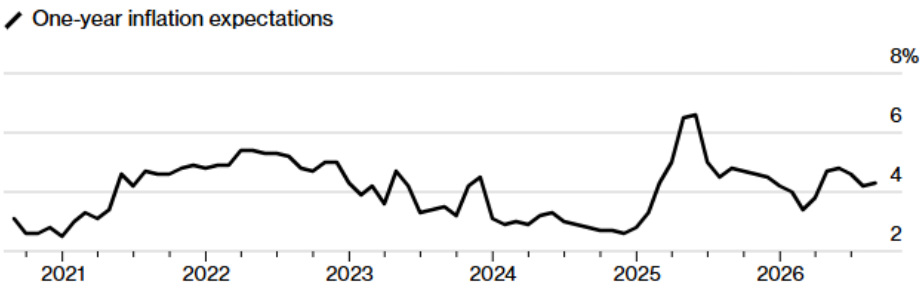
Source: University of Michigan

Bloomberg Economics

Market Spotlight: Weak US consumer data points pt 2

US Consumer Sentiment Falls in August

Concerns about inflation and the economic outlook weighed on households



Source: University of Michigan

Number of Buyers Falls to Record Low, Widening Gap

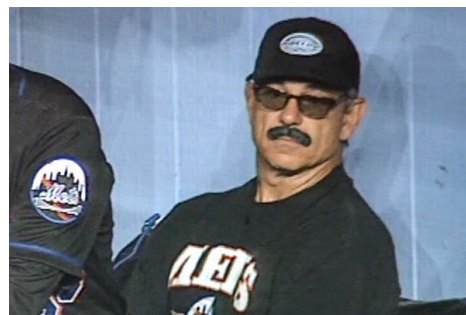
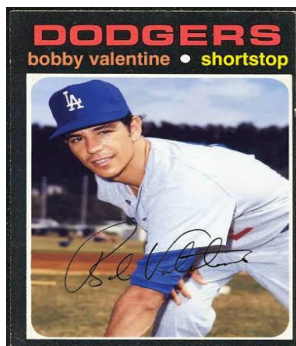
Estimated number of U.S. homebuyers and sellers actively in the market



Pending Home Sales Index, Seasonally Adjusted



Bobby V, the man, the myth, the legend



Bobby Valentine: The Man Who Juggled the Diamond, the Dining Room, and the Great Wrap Debate

Bobby Valentine was never just a ballplayer. The man who broke into the big leagues at nineteen with the Los Angeles Dodgers in 1969 carried ambitions that extended far beyond the batter's box.

In 1980, while still early in his managing career, Valentine opened Bobby Valentine's Sports Gallery Café in his hometown of Stamford, Connecticut. It was a bold move—a young manager betting on himself in the restaurant business. The place thrived, becoming the cornerstone of a downtown revitalization that would eventually grow into a multi-location empire, complete with restaurants in Arlington, Texas and beyond. But it was inside those walls that Valentine stumbled upon his most legendary—and most contested—claim to fame.

The Tortilla Invention

The story goes something like this: One day in 1980, the toaster at his restaurant broke. A regular customer kept ordering the same thing, day after day—a club sandwich. After five days of a broken toaster, Valentine had a moment of inspiration. He wrapped the club ingredients in a tortilla, melted cheese on top using the broiler, and cut it into thirds. The customer loved it.

"And from that day on," Valentine would later recount on video, "they called it a wrap."

The Controversial Chapter

Here's where things get messy.

The wrap's origin story became unexpectedly complicated as the food took the nation by storm in the 1990s. Multiple claims emerged from different corners of America—California-based World Wrapps, the Box Lunch in Massachusetts, the OVO Bistro in New York. Even a waitress named Beth Dolan at Valentine's own restaurant got credit for serving the first wrap after the establishment ran out of bread.

Most problematically for Valentine's legacy, his own accounts of the story began to shift over the years. In a 2010 interview, he said the wrap came about "a few years" after the restaurant opened, not immediately. He also introduced a new detail: that the Food Network visited his restaurant in the mid-1990s, and his manager called the dish a "wrap" on camera—and the name stuck.

Valentine remained characteristically confident but conspicuously modest about the whole thing. "Well, that's legend and folklore," he'd say with a knowing smile, "but until somebody disputes me or comes up with a better story, I'll say I invented the wrap."



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